



# “STICK WITH LARGE-CAP FUNDS”

**Vetri Subramaniam, CIO, UTI AMC,**  
on the stock market correction,  
the way ahead, and more

BY **SHAILENDRA BHATNAGAR**

**UTI AMC, ONE** of the leading asset management companies of India, manages almost ₹3.5 lakh crore in equities and bonds. The company's CIO, **Vetri Subramaniam**, talks about how to dodge the choppiness in the market. He talks about comfortable pockets in the market and macroeconomic conditions vis-à-vis GDP growth and interest rates, in an interview with *Business Today*. Edited excerpts:



**Indian equities corrected sharply over the past six months. You've seen markets for at least 30-33 years. How do you read them now?**

There is certainly a risk associated with investing in equities, which comes from short-term volatility. But I would submit to you that the greatest risk that will prevent investors from achieving their long-term financial goals is the absence of investment in equity.

In fact, one of the best examples of that is UTI's Nifty Index Fund, which we launched 25 years ago. It started in March 2000, in its first one and a half years, it dropped by almost 40% and yet 25 years later, a simple investment strategy has delivered a CAGR of 13% through the SIP rule.

So, that is the best reason why you should remain invested in

equities and not worry about short-term volatility.



**UTI AMC has been aggressively increasing its stakes in four-wheeler giants, top software companies, the NBFC sector, and telecom, while maintaining a strong presence in banking. What do your metrics say when it comes to finding value?**

Let me break it down simply. Are large caps in the fair value zone? Yes. Are large caps cheap? No. Where do mid caps stand? Still very expensive. What about small caps? Still expensive.

From our perspective, the only



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